

Closing Costs Explained

Closing costs are upfront fees that you pay when you close on your home. Here's a quick overview of the most common closing costs involved in a mortgage.



- ▶ **LOAN ORIGATION FEE** – An origination fee is a set payment associated with the establishment of an account with your lender.
- ▶ **APPRAISAL FEE** – An appraisal fee covers the cost of having a professional appraiser estimate a home's market value. If the property is under construction, or repairs are required, an additional final inspection fee may be added.
- ▶ **CREDIT REPORT FEE** – This covers the cost of getting a copy of your credit report and scores.
- ▶ **TAX SERVICE FEE** – A tax service fee ensures that you pay the property taxes on time. This helps protect your lender's access to collateral in case of default.
- ▶ **CLOSING/ESCROW FEE** – These costs are paid directly to the escrow company, real estate attorney, or title company that conducts the closing and distributes funds to third parties involved in your home purchase.
- ▶ **MORTGAGE RECORDING CHARGE** – Recording charges cover the cost of legally recording your deed, mortgage, and documents related to your home loan. The documents then become public record.
- ▶ **DAILY INTEREST FEES** – These pay for any daily interest that your loan accrues between your closing date and first mortgage payment.
- ▶ **HAZARD INSURANCE PREMIUM/RESERVES** – This protects you and your lender in case of loss due to fire and natural hazards. The premium is included in your homeowners insurance and is always paid at closing. After closing, it is often escrowed in the monthly mortgage payment for future premiums.
- ▶ **COUNTY PROPERTY TAXES/RESERVES** – This cost can vary depending on what time of year you close on loan and what property taxes are in your area. At closing, lenders need to collect enough money to pay the upcoming installment. They will typically collect between 3 and 12 months of taxes to establish the escrow account.

*Keep in mind that you are only paying taxes for the portion of the year that you own the home. The seller is responsible for them up until the day the loan closes.

For more information on closing costs, contact me.

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